



Case Clash



Zepto IPO Strategy

Re-architecting Zepto's Path to Profitable Scale & IPO Readiness

Zepto's 10-Minute Model: Scale Without Profitability

Unit Economics Breakdown (Per Order)

Revenue Drivers:

- Product margin: ~15–20% of AOV
- Delivery fee: ₹10–₹30
- Avg Order Value (AOV): ₹250–₹400

Cost Drivers:

- Last-mile delivery (rider): ₹40–₹60
- Dark store fixed cost allocation: ₹30–₹50
- Discounts & incentives: ₹20–₹40

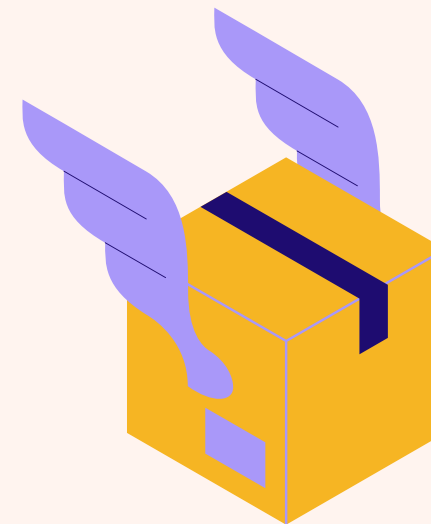
Structural Bottlenecks

- ✓ Low AOV → limits revenue per order
- ✓ High last-mile cost → driven by 10-min SLA
- ✓ Underutilized dark stores → fixed cost burden

Contribution Reality

Contribution Margin $\approx$ ₹(-10) to ₹(+20)
(highly volatile)

- Margins collapse during peak discounting
- Profitability inconsistent across locations



Scaling current model = scaling inefficiency, not profit

Speed creates exponential cost pressure without proportional revenue upside.



Re-Architecting Zepto's Profitability Engine



Profitability is unlocked not by faster delivery, but by smarter demand shaping and cost alignment.



Pillar 1: Monetizing Speed

Tiered Delivery Model

- Free Users: 20–30 min delivery (standard pricing)
- Premium Users (Subscription): 10-min delivery
- Free delivery + priority fulfillment
- Access to Zepto Café & exclusive SKUs

Impact:

- Converts speed from cost center → revenue stream
- Filters low-value, high-cost demand

Pillar 2: Dark Store Efficiency Flywheel

- Increase orders/store/day (density optimization)
- Improve inventory turnover (reduce dead stock)
- Cluster-based demand forecasting

Impact:

- Higher asset utilization
- Lower fixed cost per order



Pillar 3: Smart Basket Optimization Engine

Z-Score Pricing Model

$$\text{Z-Price} = \text{Base Price} + f(D, S, C, U, F, L)$$

Where:

- D (Demand intensity) → peak vs off-peak
- S (Supply availability) → inventory depth
- C (Delivery cost) → distance, time, effort
- U (User profile) → frequency, retention value
- F (Order frequency of item) → staples vs rare
- L (Logistics complexity) → size, fragility

Execution Levers:

- Dynamic delivery fee (urgency-based)
- Bundle incentives → increase AOV
- Smart substitutions for stock-outs

Impact:

- Drives higher-margin baskets
- Aligns pricing with true cost-to-serve

Z-Score Pricing Engine: From Theory to Profitability



Metric	Standard Order	Z-Optimized Order
Basket Value	₹320	₹520
Delivery Fee	₹20	₹35
Cost per Order	₹110	₹115
Contribution Margin	₹10	₹85

Basket Expansion

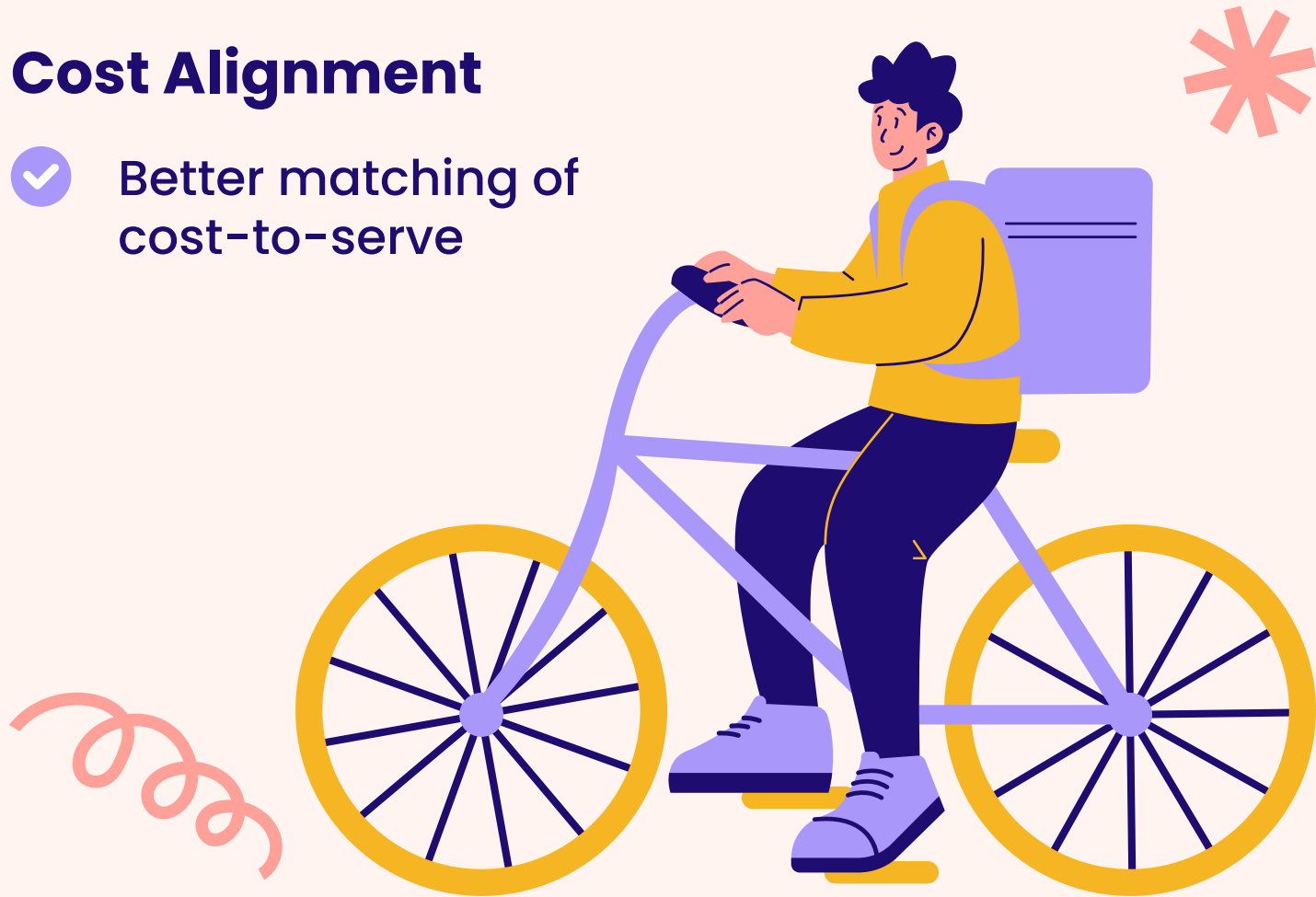
- ✓ Bundle nudging increases AOV

Smart Pricing

- ✓ Delivery fee aligned with urgency & cost

Cost Alignment

- ✓ Better matching of cost-to-serve



Smart pricing + demand shaping converts low-margin orders into scalable profitability.

IPO Readiness & Strategic Verdict



IPO Recommendation

Conditional Go-to-Market

Zepto should pursue IPO in mid-2026

ONLY IF:

- Contribution margin per order consistently positive
- AOV $\geq$ ₹500 (driven by basket optimization)
- Orders per dark store/day $\uparrow$ significantly (density-driven)
- Discount-led demand $\downarrow$ materially

Else:

- Delay IPO $\rightarrow$ risk of value destruction & weak public market reception

Valuation Framework

Triangulated Approach

- Comparable Multiples: Blinkit / Swiggy Instamart benchmarks
- GMV Multiple Range: $\sim 1.5x - 3x$ GMV
- DCF Sensitivity: Highly dependent on margin stabilization

Fair Valuation Range:

\$4B – \$6B (conditional on profitability visibility)

ESG & Regulatory Risk

- Gig workforce $\rightarrow$ potential labor law changes
- Rising compliance costs $\rightarrow$ margin pressure
- IPO scrutiny $\rightarrow$ reputational sensitivity

Competitive Moat: Current vs Future

Current Reality:

- Low differentiation (speed is replicable)
- High price competition
- No structural entry barriers

Future Moat (Post-Transformation)

- Subscription lock-in (premium users)
- Z-Score pricing intelligence
- Private labels (margin control)
- High-density dark store network

Category Expansion POV

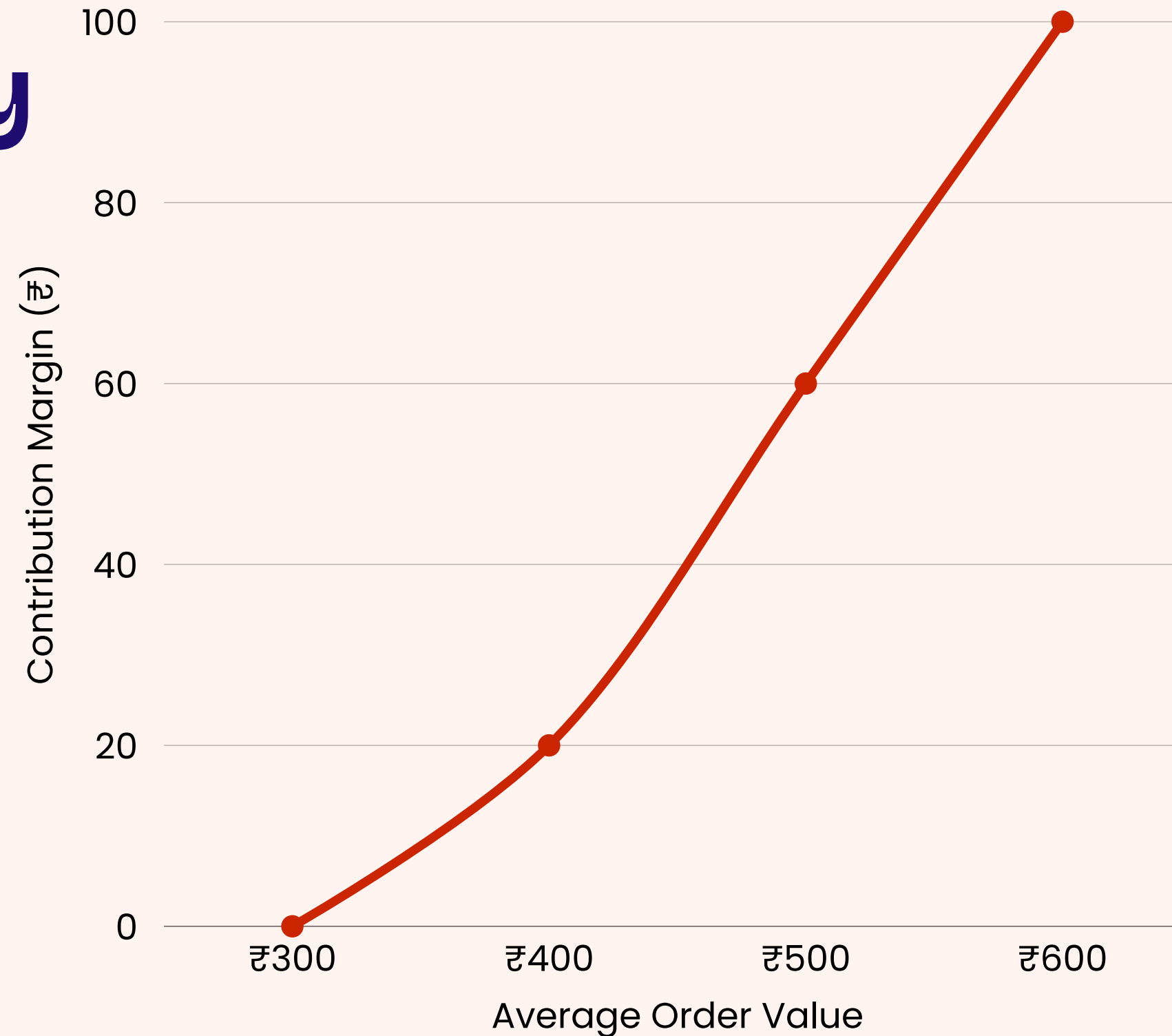
- **Zepto Café:** High-margin, high-frequency $\rightarrow$ strengthens model
- **Beauty:** Basket expansion opportunity
- **Electronics:** Low frequency, high complexity $\rightarrow$ margin dilution risk



Profitability Sensitivity: AOV as the Key Lever



Contribution Margin vs AOV



AOV Impact

- ✓ +₹100 AOV → ~2–3x margin expansion

Cost Sensitivity

- ✓ -₹10 delivery cost → direct profit gain

Utilization Effect

- ✓ Higher orders/store → fixed cost dilution

Profitability is highly sensitive to basket size and cost-per-order, validating our strategic focus.



Thank You !

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